

SERVICE AGREEMENT FOR THE COMMERCIALIZATION OF CARBON CREDITS

CT No. 01-18-FEB/2025

By this particular instrument, on the one hand:

_____, a private legal entity registered with the
(FARMER, registration number, CPF, business/home address),

hereinafter referred to as "**Farmer**";

On the other hand:

Intermediation and agency activities of services and business in general, (DIMITRA) – duly registered **Dimitra Europe GmbH located at Oeynhausner Strasse 25 2512 Tribuswinkel Austria**, hereby represented by its legal representative, hereinafter referred to as "**Dimitra**".

This contract is made available in both English and Oromo language. Where disputes are based on the interpretation of the clause, the English version will prevail unless the translation is directly misleading or incorrect.

FARMER AND DIMITRA are, individually, referred to as the "Party" and, jointly, the "Parties".

The Parties RESOLVE to enter into this Services Agreement, which shall be governed by the following terms and conditions:

I - OBJECTIVE

CLAUSE 1 – The purpose of this Agreement is the preparation of a project aimed at the **regularization and commercialization of carbon credits (resulting from the next 10 (ten) years) by Dimitra, which is dependent on the responsibilities and ethical conduct of the Farmer**

CLAUSE 2 – The Project cycle will comprise the following stages:

1. Feasibility analysis of the Farm land and Farmer Eligibility.
2. Development of the Carbon Credits Project



3. Project Registration
4. Project Validation
5. Monitoring during the stages of the Project
6. Project Verification
7. Issuance of Carbon Credit
8. Regularization of Carbon Credits
9. Commercialization of Tokenized Credits by Dimitra

II. RESPONSIBILITIES

CLAUSE 3 - DIMITRA shall be responsible for:

1. Analyzing Project Feasibility
2. Maintaining clear, transparent and regular communication with **Farmer**
3. Requesting documents from the competent bodies
4. Adjusting and updating registration information
5. Managing and fully advising the process of **preparation, project registration and verification, issuance and commercialization of carbon credits**, from the conception of the project to its conclusion.

CLAUSE 4 - FARMER is responsible for:

1. Providing consent for the implementation of the carbon credit project and granting carbon rights related to the designated farmland to DIMITRA.
2. Confirming that no other agreements exist concerning carbon credits generation on the land specified in this Agreement.
3. Providing accurate documentation and cooperating fully with Dimitra's data collection and project activities.
4. Guaranteeing that there are no legal disputes/title issues on the interest project area.
5. Using Dimitra's designated technology for data submission and analysis as required.
6. Maintaining exclusivity with Dimitra for the execution of the carbon credit project during the contractual period.
7. Granting Dimitra authorization to act on their behalf with relevant public authorities.

III. DOCUMENTATION AND REPRESENTATION

CLAUSE 5 - The **FARMER** declares that all documents provided to **DIMITRA** for the performance of the services described in this contract are authentic, lawful and true, assuming full responsibility for the veracity and regularity of the same. The **FARMER** is aware that this document is agreed and signed upon Free, Prior and informed Consent (FPIC) to start this carbon project on his/her farmland.



CLAUSE 6 - The **FARMER** acknowledges that, in the event of any falsification, irregularity or illegality in the documents provided, it may be held civilly and criminally liable, in accordance with the legislation in force, and shall be obliged to reimburse **DIMITRA** for all damages and losses suffered as a result of such fact, as mentioned in this contract, in addition to being liable to the competent authorities for the unlawful acts committed.

CLAUSE 7 – The **FARMER** declares that there are no legal obstacles to the execution of this contract.

CLAUSE 8 – The **FARMER** acknowledges that the carbon project will proceed only when it becomes financially viable and holds no legal liability to **DIMITRA** for the project's successful execution.

CLAUSE 9 - The **FARMER** agrees to issue a public power of attorney in favor of **DIMITRA**, granting authority to represent the **FARMER** before any federal, state, municipal, or local public offices, including but not limited to the local municipality's rules and laws, the Ministry of Environment and its departments, as well as other competent bodies, to handle all rights and interests related to Carbon Credits Rights.

CLAUSE 10 - The power of attorney granted to the **Dimitra** does not authorize, under any circumstances, the sale or the constitution of real encumbrances on the properties described in this contract, unless there is prior and express written authorization from the **FARMER**.

CLAUSE 11 – The power of attorney authorizes **DIMITRA**, at its sole discretion, to hire any third party deemed suitable for the project's execution.

CLAUSE 12 - The power of attorney shall be valid for a period of 10 years or until the conclusion of the activities object of this contract, whichever occurs first.

IV. PAYMENT AND FINANCIAL TERMS

CLAUSE 13 – The price of carbon credits may vary based on government regulations and market conditions, and no minimum price can be guaranteed. The **FARMER** will receive X% of the revenue from carbon credit sales, after deducting the servicing company's costs. Payment will be made within six months of the sale. Payments for carbon credits will be sent to the project sponsoring organization, which will be responsible for distributing them to farmers.

V. TERMINATION AND PENALTIES



CLAUSE 14 - This contract may be terminated by either party with at least thirty (30) days' prior written notice or immediately in the event of a breach of contractual obligations, provided that the project has not yet commenced.

CLAUSE 15 - If the project is executed without an initial investment by the **FARMER**, with all financial risks assumed by **DIMITRA**, and the **FARMER** requests termination after the project has commenced but before the stipulated deadline or the certification of carbon credits, the **FARMER** shall compensate **DIMITRA** with a payment of USD \$10 (ten U.S. dollars) per month per farm for a period of two years, totaling USD \$240 (two hundred and forty U.S. dollars) per farm, or for the remaining term of the contract, whichever is shorter, as reimbursement for services rendered up to the termination date.

CLAUSE 16 – If the **FARMER** requests termination to join another carbon project before the expiration of this contract, the **FARMER** shall be required to pay **DIMITRA**, in addition to the amounts specified in the previous clause, duly updated and adjusted, an additional penalty equivalent to 20% (twenty percent) of the net financial potential. This penalty serves as compensation for the services already provided by **DIMITRA** up to the termination date.

CLAUSE 17 - Such fine shall not be applicable in cases of termination for just cause, characterized by the breach of contractual obligations by any of the parties, due to force majeure, duly proven, or change in local carbon market laws or when the termination occurs by mutual agreement between the parties. In such circumstances, each party shall be liable only for its own costs and losses, without any further payment to the other party

VI. LIABILITY AND FORCE MAJEURE

CLAUSE 18 – Neither Party shall be held liable for project discontinuation due to external factors such as market changes or regulatory amendments.

CLAUSE 19 - In the event of the **FARMER's** death, their heirs and successors shall be obligated to fully comply with the terms of this contract, including the completion of land regularization and carbon credit projects. If the heirs or successors choose not to continue with the project, they may request contract termination, provided that a formal agreement is reached with **DIMITRA** or the penalties stipulated in this contract are duly paid.

CLAUSE 20 - If no agreement is reached for termination, the heirs shall be required to continue the project under the original terms of the contract. In the event of any dispute regarding the amounts owed, the compensatory fine will be calculated based on the criteria established for unilateral termination as outlined in this contract.



CLAUSE 21 - In the event of the sale or negotiation of the Farm described in Clause 1, the purchaser needs to reach an agreement with DIMITRA or pay the penalties stipulated in this contract.

CLAUSE 22 – If any clause of this contract is deemed null or voidable, it shall be excluded from the agreement, while all remaining clauses shall remain valid, binding, and enforceable in full force and effect.

VII. COMPLIANCE WITH AGRICULTURE INPUTS AND TRAINING

CLAUSE 23 - Provision of Inputs: The Farmer acknowledges and agrees that any inputs provided by DIMITRA, including but not limited to seeds, fertilizers, and other materials necessary for the execution of the Ethiopian AgroForestry Project.

CLAUSE 24 - Dimitra will provide the Farmer with mandatory training sessions aimed at instructing the Farmer on the optimal use of the provided agricultural inputs. The Farmer agrees to attend and complete all such training sessions before the commencement of the usage of the provided inputs.

CLAUSE 25 - The Farmer covenants to use all agricultural inputs provided by Dimitra solely as per the guidelines, instructions, and training provided by Dimitra. The Farmer agrees that such usage is critical to the success of the Project and to the achievement of its intended environmental and economic benefits.

CLAUSE 26 - The Farmer agrees not to deviate from the trained methods of input application. Any use of the inputs contrary to the training received, including but not limited to underuse, overuse, or misuse of the inputs, is strictly prohibited and shall be deemed a breach of this Contract.

CLAUSE 27 - Dimitra reserves the right to monitor the Farmer's compliance with the usage guidelines as part of its regular project evaluation activities. Non-compliance discovered during monitoring will be addressed through corrective training measures or may lead to sanctions under this Contract.

CLAUSE 28 - The Farmer shall promptly report any issues, difficulties, or uncertainties faced in the application of the inputs as per the training. Dimitra will provide necessary support to address such issues to ensure compliance with project guidelines.



VIII. GENERAL PROVISIONS

CLAUSE 29 - This Agreement is executed in an irreversible and irrevocable manner, binding upon the parties and their successors, and constitutes an extrajudicial enforceable instrument in accordance with local laws.

CLAUSE 30 - Under equal conditions, Dimitra shall have the right of first refusal for the renewal of the Carbon Credit Project and/or the contracting and execution of a new project on the area covered by this agreement. Dimitra must be notified in advance if there is interest from competing companies, allowing it the opportunity to evaluate and respond to the third-party proposal.

CLAUSE 31 - This contract is valid for (10) ten years, counting from the signature of the contract, and may be renewed for an equal period or by mutual agreement between the parties.

CLAUSE 32 - The FARMER agrees to share data and personal information deemed necessary for the execution of the project. DIMITRA commits to complying with General Data Protection Regulation (GDPR) data privacy regulations regarding the collection and handling of such data..

CLAUSE 33 - The parties agree to resolve any disputes arising from this agreement through mutual understanding and good faith efforts. In the event of a disagreement, the following steps will be taken:

The parties shall first attempt to resolve the dispute through direct negotiation and good sense, seeking an amicable solution that satisfies both parties.

If direct negotiation does not resolve the issue, the parties agree to engage in mediation, facilitated by a neutral third party, to reach a mutually agreeable solution.

Should mediation fail, the parties agree to submit the dispute to binding arbitration. The arbitration process will be conducted by the International Arbitration Centre (IAC) (<https://www.iac-london.com/>) and will follow its rules. The decision of the arbitrator will be final and binding on both parties.



Because they are thus fair and contracted, they sign this instrument, in two copies of the same content and form, together with the undersigned witnesses.

(_____), February 18, 2025.

Dimitra

Farmer

WITNESSES

Name: _____

CPF: _____

